Pragati Field Manual

"Is this move paid for, and is it paid for on every timeframe?"

How to read every part of the indicator, how to invest with its grid, how to trade its tested trend system, and what every combination of readings means. Each claim is tagged with how well it is known.

Manual 1.1 · for Pragati v9.9 Daily charts are the default and the tested timeframe

Educational, not financial advice

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How to read the evidence tags

Pragati was built and audited in public, and many of its parts were tested on markets. Not all of them were. Every claim in this manual carries one of three tags.

MEASURED

Tested in this repository on real market data with a pre-registered plan, and on data the design never saw. The numbers are in `docs/trail-lab.md` and `docs/trail-tradability.md`.

EXTERNAL

Measured in the v9 audit (380 instruments, six asset classes, three eras), whose data lives in a separate repository. The numbers are quoted in the script and were not re-checked here.

UNMEASURED

A reading aid or a reasoned combination. Useful for context, never proven to make money. Size accordingly.

PART I

Basics

Chapter 1

Setup in five minutes

1 **Add Pragati to the chart.**
It opens in its own pane under price, and it draws the trail, the volume profile and the readout table on the price chart itself.

2 **Use standard candles.**
On Heikin Ashi, Renko, Kagi, Point & Figure or range bars the prices never traded, so every family pauses and says "non-standard chart".

3 **Start on the daily chart.**
Daily bars are what was tested. Weekly bars were tested for the ▲ and the grid. Intraday works, but nothing on it was measured.

4 **Leave the defaults alone at first.**
View Full, Trace Conviction × Value, conviction on Ladder down, value on Ladder up, Accepted momentum on. Every number in this manual was measured at these settings.

5 **Give it history.**
Conviction's histogram needs about 450 bars to calibrate (1.8 years of daily bars). Until then the push gate is warming: the grid's rows have no memory, the trail cannot start, and the readout says so.

6 **Create one alert.**
Choose the condition "Any alert() function call" on Pragati. It carries every event once, at its bar's close (Chapter 27).

Chapter 2

Reading a chart in sixty seconds

Five looks, in this order, at the close of a bar. The worked readings come from the readout in Plate 2.

1 **Is there a reading?**
Anything paused, warming, stale or gold means smaller or later. In Plate 2 nothing is gold.

2 **Trader: the AUCTION row's CHART cell.**
`LONG 0.62` : the tested system is long, at size 0.62. Size it with the formula in Chapter 17.

3 **Investor: the CVG row's STATE.**
`Buy 2.71` : the TURNED family (buyers in control, price cheap). Weight it at 2.71 units in the book.

4 **Why: the CVG row's WHY and PUSH.**
"buyers running · turning up" and ↑: both edges are confirmed and a push is on. Nothing is held.

5 **Context: OI and the auction.**
"Long build-up · book 62 pct": new longs, the book not crowded. "Migrating ↑ · trail ↑ · in value": value is moving with the trail. A stop belongs below the trail or the session VAL.

Chapter 3

The colour grammar: one hue, one job

Colours mean the same thing everywhere in Pragati. Learn these six and every element reads itself.

Green · direction up, action buy
Buyers in control, a rich value reading, a long position, a Buy or Accumulate action.

Red · direction down, action sell
Sellers in control, a cheap value reading, a short position, a Trim or Exit action.

Gold · caution, never a direction
Read with care: a probe, a quiet regime, a held row, a crowded book, short covering, crypto's capitulation.

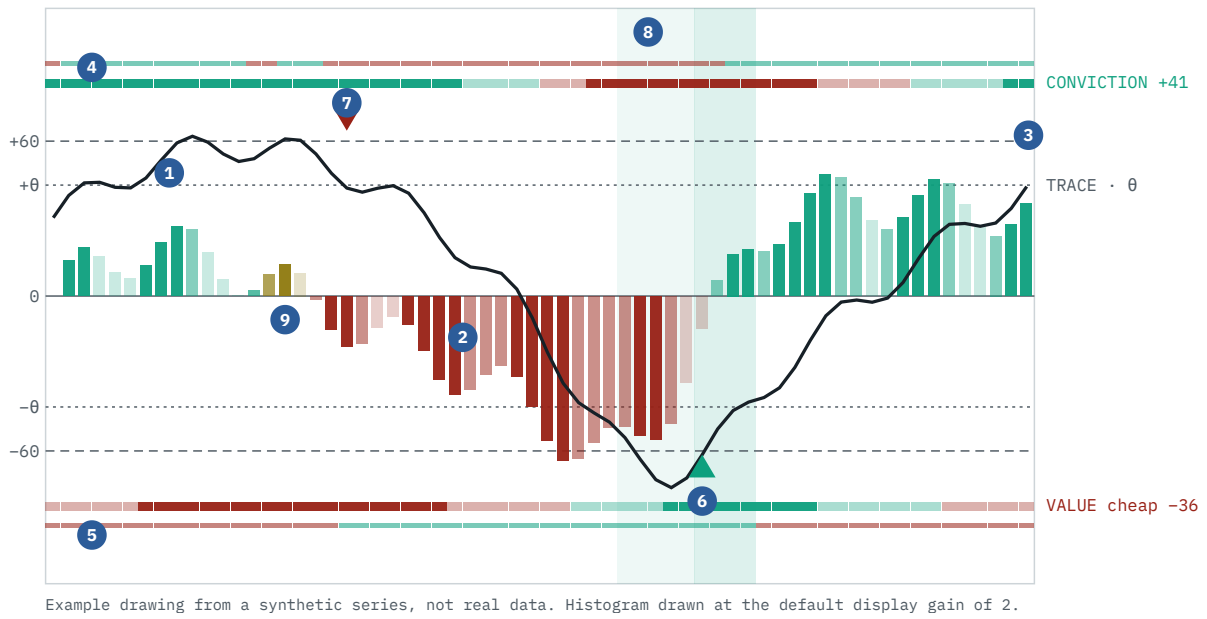
Grey · neutral
Nothing to read, Hold or Wait, Accepted momentum flat.

Blue · the session profile's value area
Identity, not direction. The VAH, VAL and value rows.

Slate · the trail's rolling value ribbon
Identity: a different value area from the session profile's.

> On the value tape, green means **rich** and red means **cheap**. A red value tape is a price below fair value, which is what the capitulation ▲ wants.

The pane, labelled



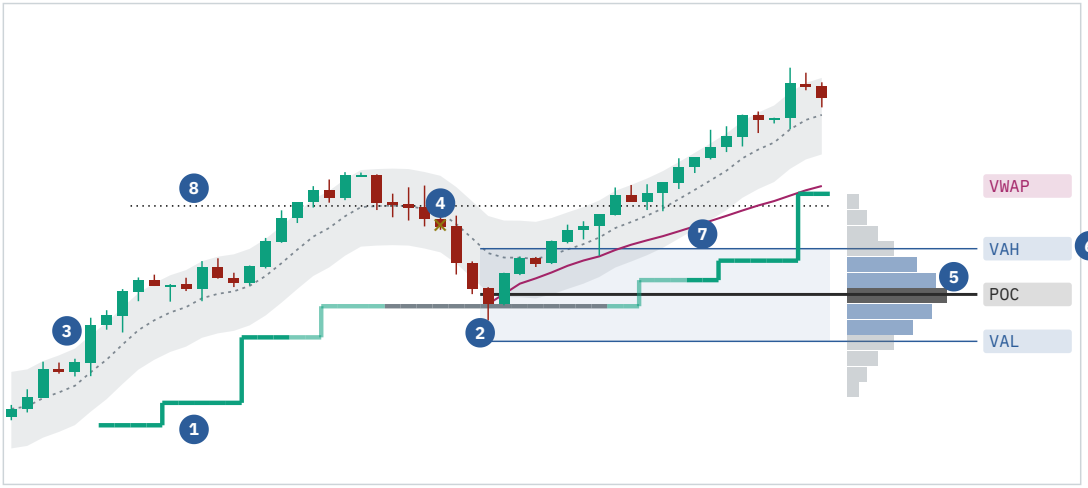
Example drawing from a synthetic series, not real data. Histogram drawn at the default display gain of 2.

Plate 1 · The oscillator pane. Numbers match the list below.

1. **Trace.** Default Conviction × Value: how stretched the move is, in effort and in price against fair value. Rails at ±θ (±43 at the default) and ±60, a 3σ stretch. UNMEASURED
2. **Histogram.** The trace minus its 9-bar signal. Hue is the direction of the push. Bright means pressing, mid means decelerating, pale means turning. UNMEASURED
3. **Rails.** Dotted ±θ, dashed ±60. On the Conviction trace they are the inner (±30) and outer (±60) zones.
4. **Conviction tape (+82)** with its momentum band (+89). The ladder's view of who is in control: green buyers, red sellers, bright past the inner zone.
5. **Value tape (−82)** with its momentum band (−89). Samanvaya's multi-timeframe value: green rich, red cheap, bright past θ.
6. ▲ **Capitulation turn.** The grid stands in DOWN · cheap and value momentum has turned back toward fair. EXTERNAL
7. ▼ **Distribution.** Sellers have taken control of a price rich past θ. EXTERNAL
8. **Background tint.** Green while the grid holds Buy · capitulation, deeper after value momentum turns. Red in Exit · distribution. Gold on crypto.
9. **Gold cast.** Columns turn gold when the push was paid for more by exits than new positions, from open interest. EXTERNAL

A column's colour is not who is in control. Control is the trace's side of zero. A green column under a trace at −45 means sellers still control, with their grip easing. When the market is unusually quiet the columns lose half their colour: a loud pane in a quiet market is drawn quiet.

The price chart, labelled



	STATE	WHY	PUSH	CHART	SPAN
OI	Long build-up	new longs · book 62 pct	+1.4σ		3d
CVG	Buy 2.71	buyers running · turning up	↑	same	6d
AUCTION	Migrating ↑	trail ↑ · in value	↑	LONG 0.62	41d

9

Example drawing from a synthetic series, not real data. The readout is the default bottom-left table.

Plate 2 · On the price chart. Numbers match the list below.

1. **Accepted momentum trail.** The tested engine. Hue is its side, intensity its size, grey when flat.
   MEASURED
2. **Flat segment.** The trail's side and momentum disagree, so the position is zero.
3. **Value ribbon** (slate) with its dotted POC. Where 70% of the trail window's participation traded.
4. **Probe ×** (gold). The first close beyond the trail that the market did not accept.
5. **Session volume profile.** Rows by price: the POC row bright, value-area rows blue, tails grey. Session = day intraday, week on daily, month on weekly.
   UNMEASURED
6. **Level tags.** POC, VAH, VAL, VWAP (TWAP when volume is off), IBH and IBL intraday, prior-session levels.
7. **Session VWAP** (rose).
8. **Naked POC.** A prior session's POC that price has not traded back through since. Up to 5, up to 250 bars old.
9. **The readout.** Three rows (OI, CVG, AUCTION) and five columns (STATE, WHY, PUSH, CHART, SPAN). Chapter 8.

The engines in plain words

Conviction

How much of the window's effort turned into net movement, weighted by participation (volume, or true range where there is none).

Answers: who is in control? · Seen in: the Conviction trace, the conviction tape, the histogram.

Value (Samanvaya)

Where price stands against fair value: a macro-hedged relative-value leg blended with a breadth leg, in σ. Past θ is cheap or rich.

Answers: is the price stretched? · Seen in: the value tape, the Value trace.

The ladder

Both readings across timeframes. Conviction on Ladder down reads the bars inside each chart bar. Value on Ladder up reads the chart and the frames above.

Answers: is it true on every timeframe? · Seen in: the two tapes.

The Conviction-Value Grid

The two tapes as a 3 × 3 map. Each cell is a family with an action and units, the weights Pragyam sizes from. EXTERNAL

Answers: what should a portfolio hold? · Seen in: the CVG row, the ▲▼, the tint.

The auction

A rolling volume profile of the chart's own bars: where participation was accepted, and whether value is migrating.

Answers: where has the market agreed on price? · Seen in: the trail, the ribbon, the AUCTION row.

Accepted momentum

The six-month acceptance trail sets the side; time-series momentum sets the size. Long only when both say up, short only when both say down.

MEASURED

Answers: should a trend book be long, flat or short? · Seen in: the trail's colour, the AUCTION row's CHART cell.

Open interest

On futures: whether this bar's trading opened risk (builds) or closed it (covering, unwinding).

EXTERNAL

Answers: what kind of positioning? · Seen in: the OI row, the gold cast.

Session volume profile

Where volume traded in the current session: POC, value area, VWAP, initial balance, naked POCs.

UNMEASURED

Answers: where are the reference levels? · Seen in: the right edge of the price chart.

PART II

Reading every state

Chapter 7

The Conviction-Value Grid

Rows come from the conviction tape: UP past the inner zone (+30), DOWN past −30, FAINT between. Columns come from the value tape: CHEAP past −θ, RICH past +θ, FAIR between. Each of the nine cells is a family named for what it says to do. The number is its units, the relative weight a portfolio gives the name.

	CHEAP value past −θ	FAIR inside θ	RICH value past +θ
UP BUYERS	TURNED **Buy** 3 units	BUILDING **Hold** 1.5 units	PAID **Trim** 0.75 units
FAINT	BASING **Accumulate** 1.5 units	IDLE **Wait** 1 units	STALLING **Trim** 0.75 units
DOWN SELLERS	DISLOCATED · capitulation ▲ **Buy** 4 units	FADING **Accumulate** 1.5 units	DISTRIBUTION ▼ **Exit** 0.25 units

Plate 3 · The 3 × 3 map. Green actions buy, red actions sell, grey change nothing. The word is the weight: Buy 4 is four times Wait 1. EXTERNAL The graded units were positive in all three eras outside crypto.

Rows move only on a push

A row changes only when conviction's own histogram confirms a push that way: on the move's side, not turning, not in a quiet regime. Without that push the row is **held** where it was, and WHY shows "held" in gold. This stops the grid flickering on every wobble of the tape.

The 5 × 5: phases

Each edge has a momentum that confirms it or not. Conviction confirms a row while buyers (or sellers) are **running**; it is **pausing** otherwise. Value confirms a cheap or rich column once it is **turning** back toward fair; it is **still cheapening** or **still richening** otherwise. An unconfirmed edge sits half-way to the middle, so its units fall. Inside a cell the units are also shaded by how strongly each tape is drawn.

You see in WHY	It means	Effect on units
buyers running · sellers running	Conviction momentum stands on the row's side	The full row
buyers pausing · sellers pausing	A pullback against the row	Half-way to the middle
turning up (from cheap) · turning down (from rich)	Value momentum reverting toward fair	The full column. On DOWN · cheap this is the ▲'s condition
still cheapening · still richening	The dislocation is still widening	Half-way to the middle
no edge	FAINT and FAIR: nothing to confirm	Wait, 1 unit
· held (gold)	The tape left the row without a push that way	Between half and all of the held row, by the push's strength
· gate warming	Conviction's histogram is still calibrating (about 450 bars)	Rows follow the tape with no memory yet

Chapter 8

The readout table, cell by cell

Five columns ask the same question on every row. STATE: where the layer stands. WHY: what makes it so. PUSH: what pushes it now. CHART: one more reading that differs by row. SPAN: how long it has stood, counting the current bar as the first. Hover any cell on TradingView for its tooltip.

OI row (futures with open interest)

STATE	Colour	What happened this bar
`Long build-up`	Green	Price up, open interest up: new longs, risk committed
`Short build-up`	Red	Price down, open interest up: new shorts, risk committed
`Short covering`	Gold	Price up, open interest down: a rally paid for by exits. Short-covering rallies lagged `EXTERNAL`
`Long unwinding`	Gold	Price down, open interest down: a decline paid for by exits
`Balanced`	Grey	The change is within 0.5σ of zero
`Price flat`	Grey	The book moved past 0.5σ but the close did not, so there is no side
`Expiry / roll`	Gold	Over 50% of the book in one bar, or over 3σ and 20%: structural, ignored

STATE	Colour	What happened this bar
`Warming` `Stale feed` `Daily only` `No symbol` `Paused`	Gold	Not enough history yet, an end-of-day feed, no OI at this timeframe, a chart modifier, or a non-standard chart
`No OI`	Grey	The instrument has no open interest. Correct for cash equity and spot

WHY adds who is doing it and how full the book is: "book 85 pct" means total open interest sits at the 85th percentile of its last 250 bars. From the 80th it turns gold: a crowded book. PUSH is the change in σ. A faded row means the size of the book's change does not track activity (ρ below 0.20), so do not read it. **Expiry caution:** a front-month future's book falls into every expiry as positions roll, which can read as covering or unwinding. `UNMEASURED`

CVG row

Cell	Shows	Example
STATE	The family's action and its shaded units	`Buy 3.42` `Exit 0.31`
WHY	Each momentum's phase on its edge (table above)	sellers running · turning up
PUSH	Conviction's histogram: ↑ ↑ an impulse past k·σ, ↑ a push, turning (no push), quiet (gold, no push), and the mirrored ↓ ↓ ↓	↑
CHART	Where this chart alone would put the name, against the ladder's state. ↑ more units, ↓ fewer, = same units elsewhere, same	↑ Buy
SPAN	How long the name has stood in this family	6d

AUCTION row

Cell	Shows	States
STATE	Value's migration against the window six months earlier	`Migrating ↑` value areas no longer overlap · `Shifting ↑` only the POC has left · `Balance` · and the mirrored ↓ states
WHY	The trail's side and the close against value	trail ↑ · in value · `probe, not accepted` · accepted, flips at the close · push gate warming
PUSH	The histogram push the trail steps by	↑ · turning
CHART	Accepted momentum's position and size	`LONG 0.62` `FLAT · disagree` `SHORT 0.40`
SPAN	Bars since the trail started or flipped (the position can be younger)	41d

Chapter 9

The information panel

Off by default (setting 8). Turn it on for a diagnostic view at the right of the pane.

Row	Read it for
Header	The trace's zone in words: buyers in control, STRETCHED UP, CHEAP · past θ, WARMING UP
declaration	The last ▲ or ▼ and how many bars ago. As a held position it carried no edge EXTERNAL. Paused with the reason, or off
value · chart	Samanvaya's value on this chart against θ. Gold while the macro basket settles
MTF · conv · value	The two tape readings. ↺ means the ladder fell back to the other direction
MTF momentum	Both momentum readings with their phase words
impulse	The histogram against k·σ, in native units
trace	The trace's ingredients: C and V in σ, ρ, split or settling
raw share · σ	The untransformed reading. QUIET (gold): small imbalances are being magnified
participation	What weighted the last closed bar, and by how much. At the cap: extreme participation
effort → result	How much effort became movement. ABSORBED (gold) in the bottom fifth
macro share, overlap, rungs, driver timing, rebuild error	Model diagnostics. Gold flags mean read the value side with care
Profile Mode, Location	What the session profile actually did, and where price sits in it

Chapter 10

Signals and marks

Mark	Fires when	Default	Evidence
▲ Capitulation turn	The first closed bar in DOWN · cheap with value momentum reverting. Not on a grid that wakes up already inside the cell	On	EXTERNAL Positive in all three eras, daily and weekly, in 4 to 5 of 5 non-crypto classes. About +0.05σ over 10 to 20 bars: a lean, not a trade. Fails on crypto
▼ Distribution	The first closed bar on which sellers control a price rich past θ	On	EXTERNAL As a state, followed by underperformance in every era

Mark	Fires when	Default	Evidence
◆ Continuation	A pullback that reset value, then a push past +k·σ	Off	EXTERNAL Negative in both eras. Do not lean on it
R · H divergence	Price and conviction disagree at pivots	Off	EXTERNAL R about zero; H negative or mixed
× Probe	The first close beyond the trail the market has not accepted	On	UNMEASURED
Background tint	While the grid holds capitulation (green) or distribution (red)	Grid state	EXTERNAL The state carried the edge
Gold cast	The push was paid for by exits (open interest)	On	EXTERNAL Marked pushes did worse

> Every signal fires at the close of its bar and never repaints. Intrabar, the readout is live and can change until the close.

Chapter 11

When something looks wrong

You see	Why	What to do
push gate warming · no trail yet	Conviction's histogram needs about 450 bars	Load more history, or wait
non-standard chart · Paused	Heikin Ashi, Renko and similar draw prices that never traded	Switch to standard candles
OI: No OI	Cash equity and spot have no open interest	Expected. Open the futures symbol to read OI
OI: Stale feed · Daily only	An end-of-day OI feed on an intraday chart	Use the daily chart
OI: Warming	Fewer than 10 accepted changes in the feed so far	Wait a few bars
OI row faded	The book's changes do not track activity (ρ below 0.20)	Do not read it on this symbol
Grey trail · FLAT · disagree	The trail's side and momentum disagree	No position. Not an error
Gold ▲ and gold tint	A crypto symbol: the capitulation reading failed there	Skip the capitulation plan
held (gold) in WHY	The tape moved without a push that way	Wait for the push, or for the tape to return

You see	Why	What to do
⏱ on a tape label	The chosen ladder direction has no frames on this chart	Expected on 1m or weekly charts
Profile Mode: TPO · auto	Fewer than half the bars carry volume	Expected on index spot
Profile Mode: bar, or a share like 5 40%	Intrabar history is limited by your plan	Normal for older sessions
The readout covers the chart	Its corner clashes with your layout	Change Readout position (setting 6)

PART III

Investment guide · weeks to months

Chapter 12

The investor's frame

For investing, the grid is the tool. Each name in your universe sits in one family, and its units say how much weight it deserves relative to the others. You hold everything you would hold anyway, more of what is cheap with sellers exhausted, and less of what is rich with sellers in control. Units are relative weights for a book of many names, not a buy-or-sell switch for one.

> Evidence `EXTERNAL`: the graded units were positive in all three eras outside crypto. In Pragyam's allocator the units beat its seed weights in both eras on the Nifty 50 and the Dow 30.

Daily chart
Conviction on Ladder down, value on Ladder up: exactly what Pragyam sizes from.

→

Read at the week's last close
One reading per name: the CVG row's STATE. `UNMEASURED` cadence

→

Units to weights
Weight = units ÷ sum of units across the book.

→

Rebalance with a band
Trade only where a weight moved by more than a tenth of its target. `UNMEASURED` house rule

Chapter 13

Nine families, nine actions

Family	Condition	Action · units	Typical next family	What it says
`DISLOCATED`	Sellers in control, price cheap	Buy · 4	BASING, FADING, TURNED	The capitulation cell. The strongest measured lean. Stage in; add on the ▲
`TURNED`	Buyers in control, price cheap	Buy · 3	BUILDING	A turn while still cheap. Buy
`BASING`	Nobody in control, cheap	Accumulate · 1.5	TURNED, DISLOCATED	Accumulate slowly
`FADING`	Sellers in control, fair price	Accumulate · 1.5	DISLOCATED, IDLE	Sellers at a fair price were followed by gains (v8, outside crypto) `EXTERNAL`
`BUILDING`	Buyers in control, fair price	Hold · 1.5	PAID, IDLE	Hold. Buyers at a fair price lagged (v8), so do not add

Family	Condition	Action · units	Typical next family	What it says
`IDLE`	Nobody in control, fair	Wait · 1	anything	Do nothing
`PAID`	Buyers in control, rich	Trim · 0.75	STALLING, DISTRIBUTION	The move is paid for. Trim
`STALLING`	Nobody in control, rich	Trim · 0.75	DISTRIBUTION, IDLE	Trim
`DISTRIBUTION`	Sellers in control, rich	Exit · 0.25	FADING, STALLING	Exit toward a token weight. The ▼ marks the entry

Chapter 14

The capitulation plan

The one event the v9 audit found positive in every era is the capitulation turn. This is a staged plan around it. The staging itself is a house rule `UNMEASURED`; the state and the turn are `EXTERNAL`.

1 · Enter DOWN · cheap
The green tint appears; STATE reads Buy 4. Buy the first third.

→

2 · ▲ fires
Value momentum turns back toward fair; the tint deepens. Buy the second third.

→

3 · Leaves the cell
BASING or FADING (Accumulate 1.5), or TURNED (Buy 3). Buy the last third on the next push ↑.

→

4 · BUILDING
Hold 1.5. Let the position run.

→

5 · PAID or STALLING
Trim 0.75.

→

6 · ▼ DISTRIBUTION
Exit toward 0.25.

When the plan is wrong

- **Crypto.** The capitulation reading failed there. The tint and the ▲ are drawn gold. Skip the plan.
- **Gold readings.** A held row, a quiet regime, "basket settling", or a paused grid. Wait for them to clear before adding.
- **A trend against you.** If Accepted momentum is SHORT, the long-horizon trend still points down. Keep each tranche small (Chapter 21).

Chapter 15

Building the book: a worked example

Six names, read at the week's close. Weights are units divided by their sum.

Name	CVG STATE	Units	Weight
A	`Buy 3.6` · DISLOCATED	3.6	32.4%
B	`Buy 2.8` · TURNED	2.8	25.2%
C	`Hold 1.5` · BUILDING	1.5	13.5%
D	`Accumulate 1.4` · BASING	1.4	12.6%
E	`Wait 1.0` · IDLE	1.0	9.0%
F	`Trim 0.8` · PAID	0.8	7.2%
Total		11.1	100% (rounded)

With a small book, one name can grow large. A practical cap of about a tenth of the book per name keeps the plan diversified UNMEASURED. The more names, the closer you get to how the units were measured.

Chapter 16

Investor risk

- **Trend filters trade return for drawdown.** On 119 markets, holding only while the 20-bar trail was up cut the worst drawdown from −73.5% to −35%, but gave up about 11 points of yearly growth (13.5% against 24.4%) MEASURED. The 200-day average and plain momentum made the same trade. Accepted momentum was tested as a trading system, not as a long-only filter for an investment book.
- **The ▲ is a lean.** About +0.05σ over 10 to 20 bars. It pays across many names and many events, not on any one EXTERNAL.
- **Gold is caution.** Reduce or wait; never read gold as a direction.

PART IV

Trade guide · systematic and swing

Chapter 17

Accepted momentum, the tested system

This is the one trade system in Pragati that passed a held-out test MEASURED. It was chosen by a fixed rule from eleven trials on data up to 2019, frozen, and then run once on 2020-26 and on 411 markets it had never seen.

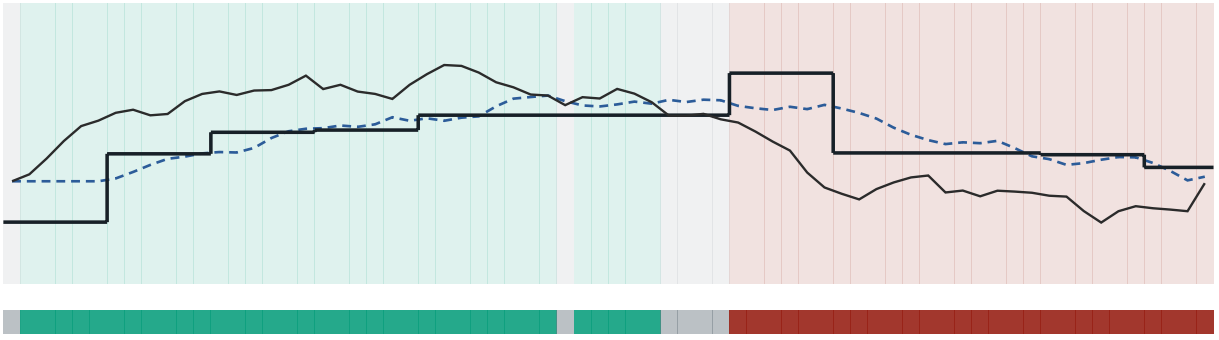


Plate 4 · How the position is decided. The trail's side and momentum's direction must agree.

Rule	Exactly
Side	The acceptance trail on a 126-bar (six-month) window: up while value has migrated and ratcheted up, down while it has migrated down
Momentum score S	The 1-, 3-, 6- and 12-month moves of the close (21, 63, 126, 252 bars), each divided by volatility × √horizon, capped at ±2, averaged and halved, so S lies between −1 and +1
Position	Side × max(0, side × S): LONG with size S when both say up, SHORT with size |S| when both say down, FLAT when they disagree
Decide and trade	Read at the close; trade at the next open. Never on the forming bar
Size	Weight = size × 10% ÷ annualised volatility, capped at 2 (two times the market's capital slice)
Volatility	The test used an exponential average (span 60) of daily log returns, × √252. On TradingView the built-in Historical Volatility indicator with length 60 is a close stand-in UNMEASURED
Rebalance	Once a week (every fifth bar in the test). Each market moves to its target only if the target has moved by more than a tenth of itself. That includes going flat and changing sides: between rebalances the position is left alone

> **When an alert arrives.** The position alert fires on the close where the side changes. Under the tested rules you act at the next weekly rebalance. Acting at the next open instead is faster, but that variant was not tested.

Worked sizing example

```
Book ₹10,00,000 across 20 markets  →  slice per market ₹50,000
Stock X: readout says LONG 0.62; annualised volatility 28%
weight   = 0.62 × 10% ÷ 28%                  = 0.221
notional = 0.221 × ₹50,000                    = ₹11,071
price ₹2,500  →  buy 4 shares (₹10,000), the nearest whole lot
Cap: weight never above 2.0 (notional ₹1,00,000 for this slice)
```

Chapter 18

Running it as a portfolio

Holdout	Sharpe, net of costs	Timing beyond leaning long	Worst drawdown	Markets positive
411 unseen markets	+0.79 (t 4.0)	t 4.1	−3.7%	79%
119 markets, 2020-26	+1.21 (t 3.7)	t 2.2	−2.5%	80%

- **The edge is a portfolio's.** On one market the median Sharpe was only +0.23 to +0.38, and about a quarter of markets lost money over the period. Run the same rules on many markets at once.
- **It did not beat plain momentum** by the pre-registered test. It matched it at lower turnover and drawdown.
- **Costs.** At twice the assumed costs the Sharpe was still +0.69 and +1.11.
- **Risk level, and real drawdowns.** At 10% per market the diversified book ran at only about 1.3% to 1.6% volatility, which is why its drawdowns above look small. Scaled to 10% volatility for the whole book, the same paths would have drawn down roughly **16% to 29%**. Expect drawdowns of that size at a useful risk level. Getting there needs futures-style leverage, and shorting Indian cash stocks overnight needs stock or index futures.
- **How many markets.** The tested books held 119 and 411 markets. With fewer, results drift toward the single-market figures. About 20 to 30 markets across several classes is a practical floor `UNMEASURED`.
- **Where it was weak.** The INR currency pairs lost; crypto was about flat (Chapter 24).

The costs the test charged

Class	Index futures and ETFs	FX	Commodities	US stocks	NSE stocks	Crypto
One way, per change in weight	5 bps	3 bps	8 bps	10 bps	15 bps	20 bps

> **Before capital:** six months of paper trading at the same costs, then one-tenth of the intended size for six months. Stop if the drawdown exceeds 1.5 times the backtest's worst, or if the rolling 12-month Sharpe stays below zero for two quarters.

Chapter 19

Discretionary overlays

These add context to a trade. None of them was tested as a rule UNMEASURED. Use them to adjust timing or size within the system's rules, not to replace them.

Overlay	Use it to	Caution
Grid family	Avoid adding to a long in PAID, STALLING or DISTRIBUTION; prefer adds in BASING or FADING	The grid is an investor's horizon
▲ during an AM short	Tighten or reduce the short: capitulation leans up for 10 to 20 bars	The system stays short by rule
OI character	A breakout on long build-up is committed; one on short covering is fragile	Builds did not predict continuation EXTERNAL
AUCTION probe	A probe against your side is a warning, not an exit: the break is not accepted yet	Accepted breaks flip the trail at the close
Migration	Migrating with your side supports holding; Shifting against it is an early warning	Unmeasured
Quiet regime (gold)	Expect amplified readings; size down	A display state, not a direction

Chapter 20

Stops, targets and invalidation

The system exits by its own rules. For a discretionary trader, Pragati's structure gives natural levels UNMEASURED.

Level	Long trade	Short trade
The trail	The floor of accepted value. A close below it with the POC following and value migrating flips the trail	The ceiling, mirrored
VAL / VAH	Initial stop below the session VAL	Initial stop above the session VAH
POC	First target from below value; the balance point	First target from above value

Level	Long trade	Short trade
Naked POC	An unfinished level above: a target	An unfinished level below: a target
Prior session VAH / VAL	Acceptance above the prior VAH supports the trade	Acceptance below the prior VAL supports it
VWAP	Holding above the session VWAP intraday	Holding below it

PART V

Permutations and combinations

Chapter 21

Matrix A · The system against the grid: 27 cases

Rows are the nine grid families; columns are Accepted momentum's three positions. In each case, TRADE follows the tested system MEASURED and INVEST follows the family's action EXTERNAL. The combined reading is reasoning UNMEASURED. When they conflict, each book follows its own tool (Chapter 26).

Grid family	AM LONG	AM FLAT	AM SHORT
UP · cheap TURNED Buy 3	**Aligned. Trend, buyers and a cheap price agree: the strongest constructive picture.** TRADE Hold the system's size. INVEST Buy toward 3 units.	**Buyers are early; long momentum has not caught up.** TRADE No position: the system is flat. INVEST Buy toward 3 units. The grid leads here.	**A turn against a falling trend: buyers take control while price is still cheap.** TRADE The system stays short until its rules flip it. Expect a conflict. INVEST Build in stages. Buy toward 3 units.
UP · fair BUILDING Hold 1.5	**A healthy trend at a fair price.** TRADE Hold. INVEST Hold 1.5. Do not chase.	**Buyers in control, no trend yet.** TRADE Flat. INVEST Hold.	**A bounce inside a downtrend.** TRADE Short, at the system's size. INVEST Hold. No adds.
UP · rich PAID Trim 0.75	**A late trend: the move is already paid for.** TRADE Hold the system's size; it sizes by S. Do not add. INVEST Trim toward 0.75.	**Stretched, with no trend behind it.** TRADE Flat. INVEST Trim.	**A squeeze into a downtrend, at a rich price.** TRADE Short. INVEST Trim or avoid.
FAINT · cheap BASING Accumulate 1.5	**A pullback inside an uptrend, now cheap.** TRADE Hold. INVEST Accumulate.	**Basing: cheap, nobody in control.** TRADE Flat. INVEST Accumulate slowly.	**Cheap inside a downtrend, nobody in control.** TRADE Short. INVEST Accumulate small. Wait for DOWN · cheap or a turn.
FAINT · fair IDLE Wait 1	**The trend is resting.** TRADE Hold. INVEST Wait. Hold what you have.	**Nothing to read.** TRADE Flat. INVEST Wait.	**The downtrend is resting.** TRADE Short. INVEST Wait.

Grid family	AM LONG	AM FLAT	AM SHORT
FAINT · rich STALLING `Trim 0.75`	**An uptrend stalling at a rich price.** TRADE Hold. Watch for the system to go flat. INVEST Trim.	**Rich and stalling.** TRADE Flat. INVEST Trim.	**Weak, rich, falling.** TRADE Short. INVEST Trim or avoid.
DOWN · cheap DISLOCATED `Buy 4 · ▲ here`	**A capitulation dip inside a long uptrend.** TRADE Long holds; its size falls as S falls. INVEST Buy toward 4 units. Add on the ▲.	**Capitulation, trend undecided.** TRADE Flat. INVEST Stage in. Add on the ▲.	**Capitulation inside a downtrend: the classic conflict between horizons.** TRADE Short, by the trend rule. INVEST Stage in small. The ▲ is the trigger. Not on crypto.
DOWN · fair FADING `Accumulate 1.5`	**Sellers inside an uptrend, fair price.** TRADE Hold. INVEST Accumulate.	**Fading.** TRADE Flat. INVEST Accumulate slowly.	**A downtrend with sellers in control.** TRADE Short. INVEST Accumulate small.
DOWN · rich DISTRIBUTION `Exit 0.25 · ▼ here`	**Sellers have taken a rich price while the long trend is still up: early distribution.** TRADE Long until the system flips. Its size will fade. INVEST Exit toward 0.25.	**Distribution.** TRADE Flat. INVEST Exit.	**Distribution inside a downtrend: aligned to the downside.** TRADE Short. INVEST Exit.

Chapter 22

Matrix B · Open interest against location in value

The OI row's character, read against where the close sits in the session profile (the panel's Location row, or the price against VAH and VAL). Practitioner readings `UNMEASURED`, except where tagged.

OI character	Above value	In value	Below value
`Long build-up`	New longs pushing for acceptance higher. Watch for the trail to accept	New longs inside balance	Longs adding below value: bottom-fishing with commitment
`Short build-up`	Shorts leaning against a breakout	New shorts inside balance	A breakdown with commitment
`Short covering`	A rally paid for by exits beyond value: fragile. Short-covering rallies lagged `EXTERNAL`	Covering inside balance	A relief bounce from below value

OI character	Above value	In value	Below value
`Long unwinding`	Longs leaving up high: a distribution risk	Liquidation inside balance	Liquidation below value: fuel for a capitulation
`Balanced · Price flat`	No read	No read	No read

Chapter 23

Matrix C · Trail side against migration

Migration (AUCTION STATE)	Trail ↑	Trail ↓
`Migrating ↑`	Value moving with the trail. Steps are likely	Value has left upward. A close above with the POC following flips the trail up
`Shifting ↑`	The POC has left the old value upward. Supportive	An early warning for the down trail
`Balance`	Value has not moved. The trail holds flat	The trail holds flat
`Shifting ↓`	An early warning for the up trail	The POC has left downward. Supportive
`Migrating ↓`	Value has left downward. A close below with the POC following flips the trail down	Value moving with the trail. Steps are likely

Add the WHY cell: a `probe` is a break without acceptance and often fails back; "accepted, flips at the close" means all three conditions hold on the live bar. Unmeasured `UNMEASURED`.

Chapter 24

Matrix D · Asset class against evidence

Asset class	In the v9 audit (▲, grid) EXTERNAL	Accepted momentum, 2020-26 MEASURED	Accepted momentum, unseen markets MEASURED	Open interest
NSE stocks	Yes	+1.02	+0.84	Measured on NSE F&O EXTERNAL
US stocks	Yes	Not tested	Not tested	Not measured
Indices	Yes (world indices)	+0.98 (Indian indices)	Not tested	On index futures
Commodities	Yes	+0.47	Not tested	On futures
FX	Yes	−0.17 (INR pairs)	Not tested	None on spot

Asset class	In the v9 audit (▲, grid) EXTERNAL	Accepted momentum, 2020-26 MEASURED	Accepted momentum, unseen markets MEASURED	Open interest
Crypto	Yes: the ▲ **failed** and is drawn gold	+0.29	−0.04	On perpetuals
Indian ETFs	Not a v9 class	+1.18	Not tested	None

In each era the ▲ was positive in four or five of the five non-crypto classes, so any one class may have missed an era. Figures are portfolio Sharpe ratios by class, net of costs.

Chapter 25

Four worked scenarios

Illustrative sequences on a daily chart, not real cases. The combined readings are reasoning UNMEASURED; each book follows its own tool.

1 · A capitulation dip inside an uptrend

When	The readout says	Trader	Investor
Day 0	LONG 0.58 · CVG Hold 1.5 BUILDING	Long at system size	Hold 1.5
Day 6	CVG Buy 3.9 DISLOCATED · sellers running · still cheapening · green tint · OI Long unwinding · probe, not accepted	Still long; the size follows S at the weekly rebalance	Buy the first third
Day 9	▲ · CVG Buy 4.0 · turning up · the tint deepens	Long	Buy the second third
Day 14	CVG Accumulate 1.4 BASING · PUSH ↑	Long	Buy the last third on the push
Day 40	CVG Trim 0.8 PAID	Long, sized by S	Trim

2 · Distribution while the trend is still long

When	The readout says	Trader	Investor
Day 0	LONG 0.35 · Shifting ↓ · CVG Trim 0.8 STALLING	Long; no adds	Trim
Day 3	▼ · CVG Exit 0.27 DISTRIBUTION · OI Short build-up	Long until the system's rebalance says otherwise	Exit toward 0.25
Day 8	"accepted, flips at the close" · then FLAT · disagree	Flat at the next rebalance	Hold the token weight

When	The readout says	Trader	Investor
Day 20	`SHORT 0.30` · Migrating ↓	Short	Token weight

3 · Nothing to do

CVG `Wait 1.0` IDLE · no edge; AUCTION `FLAT · disagree` · Balance; OI `Balanced`. The trader is flat and the investor waits. Most days look like this, and doing nothing is the instruction.

4 · Aligned up, with a crowded book

AUCTION `LONG 0.71` · Migrating ↑; CVG `Hold 1.5` BUILDING · buyers running; OI `Long build-up` · `book 88 pct`. The trader holds the system's size. The investor holds and does not chase: buyers at a fair price lagged (v8), and the gold book says the trade is crowded.

Chapter 26

When readings disagree

1 **Data first.**
Non-standard chart, warming, paused, stale or gold: there is no reading. Do nothing new.

2 **The horizon chooses the tool.**
A trading book follows Accepted momentum. An investment book follows the grid's units. Do not let one book borrow the other's signal.

3 **Gold reduces size; it never sets direction.**
Held rows, probes, quiet regimes, crowded books and short covering all mean the same thing: smaller, or later.

4 **Do not trade the untested parts.**
The 20-bar trail, the ◆, R and H measured null or negative as signals. Read them as structure.

5 **Crypto is the exception.**
Skip the capitulation plan there.

PART VI

Reference

Chapter 27

Alerts

Alert	How	Carries
Everything, once	Create an alert on Pragati with the condition "Any alert() function call"	▲, ▼, capitulation entered and left (setting 2), Accepted momentum's position changes or trail flips (setting 5, off by default), with ticker, interval, grid action and both tapes
One event	Choose a single alertcondition entry	▲ capitulation turn · ▼ distribution · ◆ long / short · R and H divergences

Alerts fire once, at the bar's close, in realtime only.

Chapter 28

Settings reference

Group	Setting	Default	Change it when
1 · View	View · Palette · Pane background	Full · Auto · Grid state	Core for the pane alone; Declaration to tint the last ▲▼
2 · Signals	▲▼ · cooldown · capitulation alerts · ◆	On · 10 bars · On · Off	Rarely. The ◆ is off for a measured reason
3 · Trace and tapes	Trace · conviction ladder · value ladder · momentum drawing	Conviction × Value · Ladder down · Ladder up · Separate band	Amalgamated folds momentum into each tape: TALL means a confirmed edge
4 · Pane display	Histogram, gain, shading, quiet desaturation, trace intensity	On, 2.0, Expansion + slope, On, On	Display only
5 · Acceptance trail	Trail · Accepted momentum · ribbon · probes · alerts	On · On · On · On · Off	Turn Accepted momentum off for the structural 20-bar trail
6 · Readout	Position · OI row · gold cast · CVG row · AUCTION row	Bottom left · On · On · On · On	Move it if the profile is off
7 · Volume profile	Master · intrabar · volume · bins · value area · layers	On · On · On · ATR, 4 per ATR · 70%	Fixed ticks for tick-based levels
8 · Panel	Information panel · detail	Off · Detailed	On to diagnose a reading
9 · Conviction engine	Lookback · smoothing · signal · k · normalization · participation · zones	20 · 3 · 9 · 0.5 · 200 · Auto · ±30 / ±60	Avoid. Every number was measured at these values

Group	Setting	Default	Change it when
10 · Value model	Macro hedge · clock · leg mix · θ	Auto · Daily · 0.5 · 1.5	Weekly clock on daily-and-above charts
11 · Divergence	R · H and their pivots	Off	Only to see them; they measured null

Chapter 29

What is measured, and what is not

Component	Grade	Result
Accepted momentum	MEASURED	Holdout Sharpe +0.79 (411 unseen markets) and +1.21 (2020-26), net of costs; timing t 4.1 and 2.2; did not beat plain momentum
20-bar acceptance trail as a trade	MEASURED	No timing skill: what it earned was drift. Structure only
20-bar trail, long only (an investment filter)	MEASURED	Drawdown −35% against −73.5%, growth 13.5% against 24.4% a year; other trend filters made the same trade
▲ capitulation turn and state	EXTERNAL	Positive in all three eras, daily and weekly, outside crypto; about +0.05σ over 10 to 20 bars
▼ distribution state	EXTERNAL	Followed by underperformance in every era
Grid units	EXTERNAL	Positive in all three eras outside crypto
Declaration (held ▲▼)	EXTERNAL	No edge
◆, R, H	EXTERNAL	Negative, about zero, negative or mixed
Open interest	EXTERNAL	Short-covering rallies lagged; builds did not predict continuation
Volume profile, migration, probes, HVN / LVN, VWAP, IB	UNMEASURED	Reference structure
Every combination in Part V	UNMEASURED	Reasoning from the measured parts

Known limits: the Accepted momentum test is mostly Indian markets plus crypto, and its NSE stocks are today's listings (survivorship). The v9 audit's figures come from a separate repository.

Glossary

Term	Meaning
Acceptance	A close beyond the trail with the window's POC beyond it and value migrated that way. Only acceptance flips the trail
Capitulation	Sellers in control across the ladder at a price cheap past θ: the DOWN · cheap cell
Conviction	The share of the window's participation-weighted effort that became net movement
Family	One of the grid's nine cells, named for its action
Held	A grid row kept in place because no push confirmed the tape's move
Impulse	A histogram column past k standard deviations of its history (↑ ↑)
Ladder down / up	Reading the timeframes below the chart (inside each bar) or above it
Migration	This window's value area against the one six months earlier: Migrating (no overlap), Shifting (only the POC left), Balance
Naked POC	A prior session's POC that price has not traded back through
POC · VAH · VAL	The most-traded price; the top and bottom of the 70% value area
Probe	A close beyond the trail without acceptance
Push gate	Conviction's histogram on the move's side, not turning, not quiet
Quiet regime	Raw volatility in the bottom fifth of its history: readings are magnified
S	Accepted momentum's score, −1 to +1, from the 1-, 3-, 6- and 12-month moves
Sharpe	Return per unit of volatility, yearly. t is how far from zero it is, in standard errors
θ (theta)	Samanvaya's value threshold, ±43 on the pane at the default 1.5
Units	The relative weight a family gives a name in a portfolio
VWAP · TWAP	The session's volume-weighted average price; time-weighted when the symbol has no usable volume
IBH · IBL	The initial balance: the high and low of the session's first bars (12 by default), intraday only
HVN · LVN	High- and low-volume nodes: local peaks and troughs in the session profile
Build-up · covering · unwinding	Open interest rising with the price move (new positions), or falling (positions closing)

Quick card

Every close

- Gold anywhere? Smaller, or later.
- Trader: read the AUCTION row's CHART cell; act at the next open.
- Investor: read the CVG row's STATE at the week's last close.

Investor

- Weight = units ÷ total units.
- Stage into DOWN · cheap; add on the ▲.
- Trim in PAID and STALLING; exit in DISTRIBUTION.
- Not on crypto.

Trader

- LONG or SHORT only when trail and momentum agree.
- Weight = size × 10% ÷ volatility, cap 2.
- Many markets, weekly rebalance.
- Paper first, then a tenth.

Never

- Trade the forming bar.
- Read gold as a direction.
- Lean on the ◆, R, H or the 20-bar trail.
- Use non-standard candles.

This manual is educational. It describes how an indicator works and how it was tested; it is not investment advice. Past results, including held-out tests, do not guarantee future results. Trade only what you can afford to lose, and paper-trade first.